minimum pricing increment could lead to market distortion."[492] Because the amendment to Rule 612 does not include the $0.001 minimum pricing increment, the Commission is not adopting the 5 mils access fee cap. Specifically, with the elimination of the proposed $0.001 minimum pricing increment,[493] the proposed 5 mil access fee cap is unnecessary.[494] Accordingly, the Commission is adopting the proposed 10 mils access fee cap as proposed.[495] The Commission is removing the proposed tiered approach to the access fee caps and instead maintaining the preexisting single, uniform access fee cap structure for protected quotes priced $1.00 or more.[496] The amendment will introduce fewer variables, less complexity and lower cost and operational risk as compared to the proposed two-level access fee cap structure.[497] More specifically, as is the case today, there will be one access fee cap for NMS stocks priced at $1.00 or more and a separate access fee cap that applies to NMS stocks priced below $1.00.

b. Impact on Liquidity and the NBBO

Some commenters stated that lowering the access fee cap to 10 mils would not impinge on the exchanges' ability to offer incentives and attract liquidity and instead stated that reducing

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492 Hudson River Letter at 4.

493 See supra section III.C and supra note 346.

494 This approach is consistent with some commenters' recommendations. See, e.g., Better Markets Letter I at 16 (stating "the Commission should just dispense with the $0.001 tick size altogether" because doing so would eliminate "the need for a separate [5 mil] access fee cap." This commenter stated that proceeding in this manner would maintain a single uniform cap for all stocks and avoid introducing additional complexity).

495 See supra note 346.

496 Several commenters expressed support for expanding the application of the access fee caps in certain ways. See, e.g., infra notes 614 - 616. Expanding or altering the structure of the cap would add complexity to the national market system. As discussed above, in response to commenters, amended Rule 610(c) introduces fewer variables and less complexity into the national market system. Expanding the application of Rule 610(c) and/or modifying its structure as these commenters suggest would be inconsistent with this approach.

497 See Regulation NMS Adopting Release, supra note 4, at 37595.

the caps would likely draw liquidity back to the exchanges.[498] According to one commenter, "ATSs and other off-exchange venues generally charge rates much lower than the access fees imposed by most exchanges. Because their cost of access is so much higher than on other venues, exchanges become the venue of 'last resort.'"[499] This commenter further stated that "modernizing the access fee cap and bringing exchange access fees in line with off-exchange trading venues will reduce the need for exchange avoidance and naturally result in a better experience for liquidity providers, one that will not need to be 'offset' by rebate payments."[500] Another commenter stated that "[b]rokers' avoidance of these fees is a significant contributor for brokers often choosing to internalize or first route to ATSs or OTC market makers, rather than to exchanges with their customers' orders."[501] Another commenter stated that "the 30-mil cap is among the factors driving the shift away from displayed trading."[502] One commenter stated "reduced displayed trading is a problem because it impedes the fair and transparent distribution of pricing and transaction information that Congress directed the Commission to protect . . . [and] the 30-mil cap is among the factors driving the shift away from displayed trading."[503] And another commenter stated that lower access fees will impose lower costs on investors, "removing a disincentive for trading on exchanges."[504]

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498 See IEX Letter IV at 18-19, 22; Themis Letter at 8; Better Markets Letter I at 16; BMO Letter at 3-4; ASA Letter at 5.

499 IEX Letter IV at 18.

500 IEX Letter IV at 18-19.

501 Healthy Markets Letter I at 21.

502 IEX Letter IV at 6. See also ASA Letter at 5.

503 IEX Letter IV at 6.

504 Better Markets Letter I at 16. See also IEX Letter VI at 1.

Other commenters stated that lowering the access fee caps would address other concerns regarding market distortions associated with the payment of high rebates.[505] One commenter stated that "[r]ebates distort supply and demand and harm the price discovery process."[506] One commenter stated that reducing the cap to 10 mils would "provide ample room for exchanges to create incentives, charge premium or discounted prices, and earn a profit, all while lowering the distortive effects they have on the equity market."[507] In addition, some commenters stated that reducing the cap would alleviate the potentially distortive effects of the maker-taker pricing model.[508] According to one commenter, "the current fee levels foster and enable significant market distortions in today's marketplace" and "the fees charged by exchanges often serve as powerful disincentives for market participants to access that liquidity."[509] Another commenter "recognize[d] that access fees and the rebates that they fund serve an important function in incentivizing liquidity provision for thinly-traded securities and compensating market makers for adverse selection," but also stated that "[p]rudent regulation must appropriately . . . balance the beneficial effect of access fees on liquidity against the potential for market distortions" associated with maintaining the 30 mil cap.[510] According to this commenter, "lowering fees would mitigate the detrimental effect of access fees on order routing, price transparency, and market quality in many securities."[511] Further, another commenter stated that when the

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505 See IEX Letter IV at 10-11, 16; Themis Letter at 7.

506 Themis Letter at 7. See also IEX Letter IV at 16; Verret Letter III at 11, 13-14.

507 BMO Letter at 4. See also Tripari Letter; Verret Letter III at 13; Proposing Release, supra note 11, at 304.

508 See, e.g., BMO Letter at 4; Brandes Letter at 3; Healthy Markets Letter I at 21; Themis Letter at 7; Council of Institutional Investors Letter at 3. See also infra section VII.D.2 (discussing market distortions).

509 Healthy Markets Letter I at 21.

510 BlackRock Letter at 10-11.

511 Id. at 10.

Commission adopted the preexisting caps, "its focus was on limiting the distortive impact of disproportionate access fees, not on facilitating the ability of markets to pass them through as rebates." According to this commenter, the only way in which the Commission viewed access fees and rebates as related was that "a fee limit was needed to avoid distortive pricing of the type that occurs when access fees are primarily passed through to other participants in the form of rebates."[512] This commenter further stated that the "bulk of executions against displayed quotes pay the maximum fee, with the overwhelming share of that revenue being passed through as rebates."[513]

Finally, one commenter stated "the pricing distortions the Commission was concerned about when it adopted Regulation NMS have become acute today due to changed market conditions" resulting in brokers being incentivized to "route orders away from best-displayed exchange quotes in order to avoid the high fees – precisely the result the Commission sought to avoid when it first adopted the cap."[514] This commenter also stated that "the introduction of 'inverted' venues that pay rebates to access rather than provide displayed orders, and the use of highly-skewed rebate tiers, has created even more price distortion and misaligned incentives."[515]

Other commenters opposed any changes to the existing access fee caps because they stated that reducing the caps would limit the exchanges' ability to offer rebates to incentivize liquidity providers, as access fees typically fund such rebates and this could negatively impact liquidity on exchange markets.[516] Some commenters stated that the reduction in the access fee

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512 IEX Letter IV at 5.

513 Id.

514 IEX Letter IV at 5.

515 IEX Letter IV at 5.

516 See, e.g., World Federation of Exchanges Letter at 4; Virtu Letter II at 8, 16-17; Citadel Letter I at 22.

caps, which would reduce rebates, would result in wider spreads, and less quoted size which would increase trading costs.[517] One commenter stated that the "cost of widening spreads that would result from removing fees and rebates would cost retail investors . . . as much as $687 million per year."[518] Some commenters stated that the reduction of rebates would impact spreads, which (according to those commenters) suggests that rebates have an impact on displayed pricing.[519] Other commenters stated that the reduction in rebates would have a negative impact on market liquidity.[520] One commenter stated that the current access fee cap levels "help[] improve liquidity and provide narrower quotes than otherwise would be available in the marketplace."[521] Similarly, another commenter stated support for further "examining changes to the access fee cap," but cautioned "that wholesale reductions, particularly when combined with other changes . . . will disincentivize liquidity provision, reduce market maker support, widen bid-ask spreads, and increase volatility in thinly-traded securities."[522] Some commenters stated that certain securities may "require rebates larger than 10 mils to incentivize tight quotes."[523] However, another commenter stated that claims of "hidden costs to investors, in the form of worse NBBO prices, wider spreads, higher costs for retail investors, in the form of worse NBBO prices, wider spreads, higher costs for retail investors and less liquidity for thinly-

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517 See, e.g., State Street Letter at 4, Interactive Brokers Letter at 5, Nasdaq Letter I at 23, Nasdaq Letter II at 5-6, Letter from Brett Kitt, Associate Vice President, Principal Associate General Counsel, Nasdaq, Inc., dated Feb. 14, 2024 ("Nasdaq Letter III") at 5, Cboe Letter III at 8.

518 Nasdaq Letter III at 5.

519 See, e.g., Cboe Letter II at 8-9; Cboe Letter III at 8; Nasdaq Letter I at 2; Nasdaq Letter I at 22.

520 See, e.g., CCMR Letter at 27, Interactive Brokers Letter at 5.

521 Fidelity Letter at 14.

522 State Street Letter at 4. See also CCMR Letter at 27; Interactive Brokers Letter at 5; Nasdaq Letter I at 23; Nasdaq Letter II at 5-6; Nasdaq Letter III at 5.

523 Fidelity Letter at 14. See also e.g., Nasdaq Letter II at 6; State Street Letter at 4.

traded securities" did not have a factual basis and did not account for the "tangible cost reductions that would arise from lower access fees."[524]

Certain exchanges also opposed any changes to the access fee caps, stating that reducing the access fee caps would impede their ability to offer competitive rebates and meaningful price differentiation, hindering their ability to attract liquidity and compete with off-exchange trading venues for order flow.[525] One commenter stated that "[c]ompressing the caps further . . . [would] introduce additional concerns with implications for competition and market quality."[526] In addition, this commenter stated that rebates, which are funded by access fees, are "innovative and critically important tools that enhance market depth, promote tighter bid-ask spreads, and encourage order flow to be routed to lit exchanges" and any diminution in the access fee caps would "in fact disrupt current business practices and competitive dynamics."[527] This commenter also stated that reducing the access fee caps could "have significant revenue consequences,"[528] but provided no specifics. Another commenter stated that reducing rebates "discourages on-exchange market making," which could deteriorate the NBBO as it "would be drawn from a smaller and less representative pool of displayed liquidity."[529] According to this commenter, although the proposal might make it cheaper for broker-dealers to access liquidity, costs for liquidity providers and market makers would increase, and spreads would widen, which in turn

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524 See IEX Letter IV at 22.

525 See Cboe Letter II at 8-9; Cboe Letter III at 8; Nasdaq Letter I at 2; Nasdaq Letter I at 22. See also e.g., Virtu Letter II at 8; Citadel Letter I at 22.

526 See Cboe Letter II at 8. See also Cboe Letter IV at 2; Nasdaq Letter I at 22-29; Nasdaq Letter IV at 8.

527 Cboe Letter III at 4. See also Cboe Letter IV at 3; Nasdaq Letter I at 20.

528 Cboe Letter IV at 3.

529 Nasdaq Letter II at 7. See also Nasdaq Letter I at 19; Nasdaq Letter III at 5-6. But see IEX Letter IV at 10-11 (stating "[t]here is ample evidence that maintaining the access fee cap at its current level has led to distortions the Commission sought to avoid.").

would result in higher "all-in" costs for investors.[530] Further, one commenter stated that the proposal "risks weakening the NBBO by restricting exchanges' ability to offer meaningful rebates to encourage more liquidity and tighter spreads that underpin the NBBO"[531] and stated that the NBBO is "comprised exclusively of trading interest displayed on public exchanges. . . [and] limit[ing] exchanges' ability to gather liquidity . . . would weaken the public reference price."[532] According to this commenter, "rebates are essential to market quality as they encourage market participants to act as market makers and provide two-sided quotes that make the equity markets function soundly."[533] This commenter further stated that rebates provide "integral value to the operation of well-functioning, fair, and orderly equity markets" because they serve to cushion market makers against the risks of adverse selection and price volatility, thereby incenting them to continue to make markets, even in thinly-traded or volatile securities, and to do so with tighter spreads than they would otherwise."[534] According to the same commenter, a reduction in rebates would lead to greater market complexities because there would be more "speedbump or 'quote protection' markets" and a "[g]reater focus on segmentation."[535] This commenter also stated that the proposal would "potentially undermine the competitive positions of the exchanges and the market makers that quote on them by seeking to limit their ability to charge fees and collect rebates for their respective services."[536] Another commenter stated that "it is entirely inappropriate to experiment with *exchange* pricing models

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530 Nasdaq Letter I at 20; Nasdaq Letter II at 6-7.

531 Nasdaq Letter I at 2, 22.

532 Nasdaq Letter I at 22.

533 Nasdaq Letter I at 22

534 Nasdaq Letter I at 22.

535 Nasdaq Letter IV at 8.

536 Nasdaq Letter I at 21.

for fear of *broker* failings" and "exchange fees are extremely transparent . . . and receive a significant amount of SEC review."[537]

Finally, one commenter "question[ed] the Commission's authority to reduce the fee cap beyond what is needed to accommodate the new, smaller tick sizes, thereby with the implicit aim of limiting the ability of exchanges to provide meaningful rebates to market participants."[538] According to this commenter, the Commission "lacks the authority to enact radical changes to exchange access fees without explicit congressional mandate" and "the Commission's charge to establish a national market system evidences no express intent for the Commission to impose price controls upon exchanges as a means of promoting competition."[539]

Other commenters stated that the Commission had clear statutory authority to adopt Rule 610 and to make subsequent adjustments to the access fee caps.[540] One commenter stated that "a plethora of items in the 34 Act, the SEC's prior 50 years of regulation of the National Market System, and related constitutional precedent regarding the private non-delegation doctrine specific to self-regulatory organizations (SROs) – not only give the SEC sufficient delegation of authority to adopt the pending NMS proposal, they compel the SEC to exercise its authority that oversees a dynamically changing national market system."[541]

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537 Cboe Letter III at 5-6.

538 Nasdaq Letter VI at 1.

539 Nasdaq Letter VI at 2.

540 See, e.g., IEX Letter IV at 3; Letter from J.W. Verret, Associate Professor, George Mason University, dated Aug. 27, 2024 ("Verret Letter IV").

541 Verret Letter IV at 2.

As discussed above,[542] section 11A(c)(1)(B) of the Exchange Act authorizes the Commission to adopt rules assuring the fairness and usefulness of quotation information.[543] Further, Congress explicitly granted the Commission "broad authority to oversee the implementation, operation, and regulation of the national market system" and the "clear responsibility to assure that the system develops and operates in accordance with Congressionally determined goals and objectives" which requires balancing different, and often competing, interests and components of the complex national market system.[544] The access fee caps in preexisting Rule 610(c) were adopted through rulemaking pursuant to the Exchange Act, including section 11A, and recalibration of the levels of the access fee caps falls squarely within the Commission's statutory authority. The commenter that questioned the Commission's authority to reduce the level of the access caps to 10 mils acknowledged the Commission's authority to reduce the access fee caps "to accommodate the new, smaller tick sizes"[545] and in an earlier comment letter stated it "supports adjusting the access fee cap to accommodate new tick sizes."[546] The Commission's authority set forth in the Exchange Act is not circumscribed in the manner suggested by this commenter. Congress granted the Commission broad authority to oversee the national market system and ensure that it is meeting the investment needs of the public. The reductions in the access fee caps adopted herein are designed to improve market quality for market participants accessing protected quotations in all NMS Stocks, not just those

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542 See supra section IV.A. See also sections I and I.B.

543 15 U.S.C. 78k-1(c)(1)(B). Section 23 of the Exchange Act also authorizes the Commission "to make such rules and regulations as may be necessary or appropriate to implement the provisions" of the Act. 15 U.S.C. 78w(a)(1).

544 See supra notes 2-3 and accompanying text.

545 Nasdaq Letter VI at 1 and Nasdaq Letter I at 2.

546 Nasdaq Letter I at 2.

that will be assigned a new minimum pricing increment. As discussed throughout, the adjusted level of the caps also will allow trading centers to retain their net capture for transactions of protected quotations priced $1.00 or more and therefore trading centers who wish to use rebates to attract liquidity may continue to do so. Accordingly, the Commission has considered and balanced policy objectives in this complex area and reached an appropriate policy decision.[547]

Although some commenters stated that rebates are essential to attract liquidity on exchanges,[548] the access fee caps were not established to support trading centers' ability to offer rebates or to ensure a particular level of rebate payment; they were developed as a means to help ensure fair, efficient, and ready access to protected quotes, to preserve the integrity of displayed prices and to ensure that the objectives of Rule 611 would not be undermined by trading centers who might seek to charge exorbitant fees to those now required to access their protected quotations.[549] The Commission disagrees that rebates are essential to attract liquidity on national securities exchanges or the only means of attracting liquidity.[550] The Commission stated in 2005 that markets have "significant incentives to be near the top in order-routing priority"[551] and displaying the best protected quotation will attract liquidity to a market. The adopted

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547 See Regulation NMS Adopting Release, supra note 4, at 37498. As was the case when the Commission adopted the preexisting fee caps, the rulemaking process has required the Commission to "grapple with many difficult and contentious issues that have lingered unresolved for many years" and after examining these issues and assessing the views of commenters, particularly those that disagree with the proposal, "decisions must be made and contentious issues must be resolved so that the markets can move forward with certainty." Id. While the Commission always seeks to achieve a consensus, "consensus can mean indefinite gridlock that ultimately could damage the competitiveness of the U.S. equity markets [ ]. [T]he time has come to make the difficult decisions necessary to modernize and strengthen the national market system." Id.

548 See, e.g., Cboe Letter III at 6-7; World Federation of Exchanges Letter at 4; Virtu Letter II at 8, 16-17; Citadel Letter I at 22.

549 See Regulation NMS Adopting Release, supra note 4, at 37503.

550 See id. at 37596.

551 Id.